

Axion — Income Tax Consequences of the Renewable Energy Investment Opportunities

Trigger: Document 7, pages 18 to 20 | APC 2026 September Qualifying Exam | Axion Digital Infrastructure (Pty) Ltd

The trigger. Document 7, page 18: the Chief Financial Officer asks that you “familiarise yourself with the related **income tax considerations**” for renewable energy, and links to the SARS Guide on the Allowances and Deductions Relating to Assets Used in the Generation of Electricity from Specified Sources of Renewable Energy (**IT39**, 23 November 2024).

How this document is arranged. Each investment opportunity in Document 7 is dealt with **separately and in full**. For each one: what Document 7 says, the income tax consequences section by section, the applicable case law, other taxes in brief, a short worked example, and the information Document 7 does not give.

Sources used. The Income Tax Act 58 of 1962; SARS Guide IT39; the IAC 2026 Tax Notes and Tutorials; and Document 7 of the pre-release. Legislation is paraphrased. Case law is paraphrased and then applied.

Left column, black — the legislation or the case. **Right column** — [the application to Axion, in blue](#).

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Reference table — sections used in this document

Section	Subject	Where it is dealt with
s11(a)	General deduction formula	Investments 1, 3 and 4
s11(d)	Repairs	Investment 2; existing on-site solar
s11(e)	Wear and tear on movable assets	Investment 2.5
s11(o)	Disposal (scrapping) allowance	Investment 2.7
s11A	Pre-trade expenditure	Investment 2.7
s12B(1)(h)	Renewable energy generation assets — 50/30/20, or 100% for PV not exceeding 1MW	Investment 2.1
s12B(1)(i)	Improvements to those assets	Investment 2.2
s12BA	Enhanced 125% allowance — assets brought into use before 1 March 2025	Investment 2.3
s12L	Energy efficiency savings — 95c per kWh	Existing on-site solar section
s12N	Improvements to land or buildings not owned by the taxpayer	Investments 2.6 and 3.1
s12U	Roads, fences and fence foundations — 100%	Investment 2.4
s13quin	New and unused commercial buildings — 5%	Investment 2.5
s20(1)(a)	Set-off of assessed losses — higher of R1m or 80%	Investment 2.7
s23(g)	Money not laid out for the purposes of trade	Investments 1, 3 and 4
s23H	Prepaid expenditure	Investment 4.1
s24H	Partnerships — proportionate share and limitation	Investment 2.6
s24J	Interest incurred and accrued	Investment 2.7
s8(4)(a)	Recoupment of allowances on disposal	Investment 2.7
s8(4)(k)	Market value substituted on a connected person disposal	Investment 2.7
s8(4)(nA)	Additional recoupment on a s12BA asset	Existing on-site solar section
Eighth Schedule	Capital gains tax — proceeds, base cost, 80% inclusion	Investment 2.7
s16(3), s17 VAT Act	Input tax	All investments
s64F	Dividends tax exemption — resident company	Investment 2.9
Carbon Tax Act 15 of 2019	Tax on Scope 1 emissions	All investments

Reference table — case law used in this document

Each case is applied in the investment section where it is relevant. The principles below are paraphrased from the IAC 2026 Tax Notes and SARS Guide IT39.

Case	Principle	Applied in
Burgess v CIR	“Trade” is to be given a wide interpretation and the definition is not exhaustive.	Investments 1, 2
Warner Lambert SA (Pty) Ltd v CSARS	For s23(g), consider the purpose of the expenditure and what it actually effects.	Investments 3, 4
Sub-Nigel Ltd v CIR	Expenditure must be incurred for the purpose of earning income, whether or not it actually produced income.	Investments 3, 4
Port Elizabeth Electric Tramway Co Ltd v CIR	The risk of the expenditure must be an inevitable concomitant of the income-earning activities. “Actually incurred” does not mean necessary, good business, or paid.	Investments 1, 3, 4

Case	Principle	Applied in
Joffe & Co (Pty) Ltd v CIR	Applies the same inevitable concomitant test.	Investment 3
Nasionale Pers Bpk v KBI	An obligation conditional on a future event has not been actually incurred.	Investment 4
Edgars Stores Ltd v CIR	Deduct once all conditions are met, even if the amount is an estimate. Do not spread expenditure evenly if the obligation does not arise evenly.	Investment 4
CIR v Golden Dumps (Pty) Ltd	Where incurrance is disputed, the amount is not actually incurred until the dispute is resolved.	Investment 4
New State Areas Ltd v CIR	Capital expenditure adds to the income-earning structure ; revenue expenditure works the income-earning operations .	Investments 1, 2
CIR v George Forest Timber Co Ltd	Capital expenditure acquires a source of profit ; revenue expenditure works the source.	Investment 2
Rand Mines (Mining and Services) Ltd v CIR	Capital expenditure acquires a right to perform operations ; revenue expenditure performs them.	Investment 2
CSARS v BP South Africa	There is no prescribed minimum period that makes a benefit "enduring".	Investment 2
Blue Circle Cement Ltd v CIR	Whether an asset is "plant" is decided on a functional test (is it apparatus used in carrying on the business) and a durability test (it must not be quickly consumed).	Investment 2.1
ITC 1804	"Brought into use for the first time by that taxpayer" prevents a further allowance where the asset is retired and then brought back into use.	Investment 2.1
MacDonald Ltd v Radin NO	Whether a movable has become immovable by annexation depends on the nature of the article , the degree and manner of annexation , and the intention of the annexor.	Investments 2.6, 3.1
Olivier v Haarhof & Co	No single general rule can be laid down; each case depends on its own circumstances.	Investments 2.6, 3.1
Melcorp SA (Pty) Ltd v Joint Municipal Pension Fund	Where the agreement expressly records that the asset is not to become a fixture, accession does not take place.	Investments 2.6, 3.1
African Products Manufacturing Co Ltd	A repair presupposes damage and restores a subsidiary part ; a renewal replaces substantially the whole; an improvement creates a better asset. Using different material does not of itself make it an improvement.	Investment 2.2
CIR v Nemojim (Pty) Ltd	Expenditure incurred partly to earn income and partly exempt income must be apportioned.	Investment 2.9

The investment opportunities, as Document 7 states them

Document 7, page 20, headed "Renewable electricity for future growth — options under consideration".

Investment	What Document 7 states	Income tax point of entry
Investment 1 Additional power purchase agreements	• Purchase renewable electricity from an independent producer. • May require limited upfront capital. • Price, volume and supply terms are agreed contractually. • Flexibility depends on the terms of the agreement.	No asset is acquired. The enquiry is whether the cost is deductible under s11(a) .
Investment 2 Direct investment in generation capacity	• Invest in a renewable energy project, potentially with an experienced technical partner. • Requires upfront capital and an appropriate funding	An asset is acquired. The enquiry is which capital allowance applies, to whom, and in which year — s12B ,

Investment	What Document 7 states	Income tax point of entry
	structure. • Axion participates in the risks and returns of the project. • Greater involvement in construction, operations and governance.	s12BA, s12U, s13quin, s11(e).
Investment 3 Off-site generation and wheeling	• Land and network constraints may limit renewable generation at a data centre site. • Electricity may be generated elsewhere and supplied through the electricity network. • Allocated at an agreed metering point. • Network and wheeling charges, transmission losses, curtailment, and electricity generated but not used.	Two enquiries: who owns the off-site plant (s12B , and ownership at common law), and whether the wheeling costs are deductible (s11(a)).
Investment 4 Long-term offtake agreements	• Pricing and escalation terms may apply for many years. • Purchase commitments may begin before the new facility is fully utilised. • Contracted revenues may support project debt. • The project may depend heavily on one customer.	The enquiry is when a multi-year commitment is actually incurred (s11(a), s23H), and whether electricity paid for but not used is deductible.

Investment 1 — Additional power purchase agreements

Document 7, page 20. “Purchase renewable electricity from an independent producer. May require limited upfront capital. Price, volume and supply terms are agreed contractually. Flexibility depends on the terms of the agreement.”

1.1 Income tax consequences

Legislation — paraphrased	Application to Axion
• s12B(1)(h) — the allowance is available only where the asset is owned by the taxpayer, or acquired as purchaser under an instalment credit agreement; is brought into use for the first time by that taxpayer for the purposes of that taxpayer's trade; and is used by that taxpayer in the generation of electricity from a specified renewable source. • s12BA — the same ownership and first-use requirements, and the asset must be new and unused. • s12U — the taxpayer's trade must be the generation of electricity exceeding 5MW from a specified source. • s11(e) — the asset must be owned by the taxpayer or acquired under an instalment credit agreement. • s11(a) — expenditure and losses actually incurred in the production of the income, provided they are not of a capital nature, read with s23(g) (laid out for the purposes of trade). • “Actually incurred” requires an unconditional obligation; it does not require payment.	• WHO — no allowance to Axion. Under a power purchase agreement the independent producer owns the plant, brings it into use and generates the electricity. Axion owns no asset and brings none into use, so s12B, s12BA, s12U and s11(e) are each unavailable to Axion. The producer is the taxpayer entitled to any capital allowance. • s12U fails on a second ground. It requires the taxpayer's own trade to be the generation of electricity. Document 7 page 19 describes Axion's trade as operating data centres and providing interconnection services. • WHO — s11(a): Axion. The electricity is consumed in powering customers' computing equipment and the cooling, security and other infrastructure of Axion's facilities (Document 7 page 19). The cost is incurred in the production of Axion's income, is not of a capital nature, and is laid out for the purposes of Axion's trade. • HOW MUCH — the full contract cost incurred in the year. There is no rate and no write-off period: s11(a) is a full deduction of the amount incurred, not a capital allowance. • WHEN — in the year the unconditional obligation arises, not when the electricity is paid for. Document 7 page 20 states that price, volume and supply terms are agreed contractually, so the obligation for each period's electricity arises in that period. • The deduction recurs for the life of the agreement, because it is an operating cost and not an allowance written off over a fixed number of years.

1.2 Case law

Case — principle paraphrased	Application to Axion
• New State Areas Ltd v CIR. Capital expenditure adds to the income-earning structure of the taxpayer; revenue expenditure is incurred in working the income-earning operations. • Port Elizabeth Electric Tramway Co Ltd v CIR. The risk of incurring the expenditure must be an inevitable concomitant of the taxpayer's income-earning activities. “Actually incurred” does not mean that it was necessary or good business to incur the expenditure, and does not mean paid. • Burgess v CIR. “Trade” is to be given a wide interpretation and the definition is not exhaustive.	• New State Areas. Purchasing electricity under a power purchase agreement works Axion's income-earning operations; it does not add to its income-earning structure. The expenditure is therefore not of a capital nature and is deductible under s11(a). • Port Elizabeth Electric Tramway. Document 7 page 19 records that data centres run on electricity and that electricity is one of Axion's most significant operating costs. Incurring electricity cost is an inevitable concomitant of operating data centres. • Burgess. Axion's trade of operating data centres and providing interconnection services falls within the wide definition of trade, so the s11(a) preamble requirement is met.

1.3 Other taxes

Tax	Paraphrased rule	Application to Axion
VAT	The supply of electricity is a standard-rated taxable supply at 15% . Input tax is deductible under s16(3) read with s17 to the extent that the supply is acquired for the purpose of making taxable supplies.	Axion makes taxable supplies (data centre services and interconnection). Input tax on the producer's invoices is deductible in full, subject to the producer being a registered vendor.

Tax	Paraphrased rule	Application to Axion
Carbon tax	The Carbon Tax Act 15 of 2019 imposes tax on greenhouse gas emissions from fuel combustion , industrial process and fugitive sources above the threshold for the activity. It applies to Scope 1 emissions and not to emissions from purchased electricity.	Purchasing renewable electricity reduces emissions from purchased electricity, which are not taxed in Axion's hands. Document 7 page 19 records that diesel is used in backup generators, and page 20 records that renewable generation does not replace resilience infrastructure.
Dividends tax	Withheld at 20% on dividends paid by a resident company.	Not applicable. No company is interposed under this investment.

1.4 Worked example

The figures below are illustrative inputs supplied for the example only. Document 7 does not state a volume, a price or a term.

	Illustrative input	Income tax effect
Volume purchased under the agreement	80 000 000 kWh	
Contract price	R1.10 per kWh	
Cost actually incurred in the year	R88 000 000	
Capital allowance — s12B, s12BA, s12U, s11(e)	Nil — no asset owned	Nil
Deduction under s11(a)	R88 000 000	R23 760 000 at 27%
Taxable income before the agreement	R350 000 000	
Taxable income after the deduction	R262 000 000	Tax R70 740 000
Reduction in tax for the year		R23 760 000
VAT charged by the producer at 15%	R13 200 000	Deducted as input tax

1.5 Information required

- The **volume and the contract price**, and the basis of any escalation.
- The **term of the agreement**, and whether it contains a minimum purchase or take-or-pay obligation (in which case Investment 4 applies).
- Whether the producer is a **registered VAT vendor**.
- Whether Axion contributes any **capital, prepayment or funding** to the producer, or acquires any interest in the generation plant.
- Whether the agreement identifies a **specific plant** and who directs its use.

Investment 2 — Direct investment in generation capacity

Document 7, page 20. “Invest in a renewable energy project, potentially with an experienced technical partner. Requires upfront capital and an appropriate funding structure. Axion participates in the risks and returns of the project. Greater involvement in construction, operations and governance.”

Sections 2.1 to 2.7 follow **SARS Guide IT39**, which is the guide named in Document 7 page 18.

2.1 Section 12B(1)(h) — the generation plant

Legislation — paraphrased	Application to Axion
• s12B(1)(h) allows a deduction on the cost of an asset where all four requirements are met: • — the asset is machinery, plant, an implement, a utensil or an article; • — it is owned by the taxpayer, or acquired as purchaser under an instalment credit agreement; • — it was or is brought into use for the first time by that taxpayer for the purposes of that taxpayer's trade; and • — it is used by that taxpayer in the generation of electricity from a specified source of renewable energy. • Specified sources: wind power; photovoltaic solar energy; concentrated solar energy; hydropower not exceeding 30 megawatts; and biomass comprising organic wastes, landfill gas or plant material. • Rate — s12B(2): 50%, 30% and 20% over three years. s12B(2)(b): 100% in the year brought into use for photovoltaic solar energy not exceeding one megawatt. • No apportionment. Where the asset is brought into use during a year of assessment the full percentage for that year is deducted, even if it is brought into use on the last day of the year. • The trade requirement is not restricted. IT39 2.5: no restriction is placed on the type of trade; the taxpayer need not trade in renewable energy. The electricity generated may be used by the owner in its own trade or sold to others. • Mixed sources. IT39 2.1.4: the section requires the asset to be used in the generation of electricity from the listed sources and uses no words such as “to the extent” or “mainly or wholly”. An asset that uses both renewable and non-renewable sources is not eligible. • “Brought into use for the first time” is a question of fact — the first use consistent with the asset's intended future use. The installation and testing phase does not meet the requirement. The onus of proof rests on the taxpayer. • The asset need not be new and unused; a second-hand asset qualifies. • s12B(4) denies the deduction, among other cases, where the asset is let otherwise than under an operating lease as defined in s23A(1) unless the lessee derives income from it and the lease runs for at least five years or the asset's useful life; where the asset was previously brought into use in the same year by another company under substantially the same	• WHO — Axion, if Axion owns the plant and brings it into use. The trade requirement is satisfied: s12B places no restriction on the type of trade, so generation plant used to power Axion's own data centres qualifies even though Axion's trade is data centres and interconnection (Document 7 page 19). IT39 2.5 gives the example of a glass producer using solar panels in its manufacturing process. The electricity may also be sold to others. • HOW MUCH — the rate depends on technology and capacity. Photovoltaic solar not exceeding 1MW is deducted 100% in year one. Photovoltaic solar above 1MW, and all wind, concentrated solar, qualifying hydropower and biomass, are deducted 50 / 30 / 20 over three years. The deduction is on the cost of the asset, and s12B(5) caps the aggregate at that cost. • WHEN — in the year the asset is brought into use for the first time by Axion, and in the two following years. Because there is no apportionment, the full first-year percentage falls in the year of first use even if that is the last day of the year. Commissioning and testing do not constitute first use. • Hydropower exceeding 30MW falls outside s12B entirely and is dealt with under s11(e) — see 2.5. • Mixed sources deny the deduction entirely. Document 7 page 19 records that Axion's facilities use grid and municipal supply, renewable electricity, on-site solar generation and diesel backup generators. Where one installation generates from both a specified renewable source and a non-renewable source, no deduction is available and no apportionment to the renewable portion is permitted. • Evidence of first use includes an electrical certificate of compliance, written confirmation of the installation and use date, generation and utilisation reports, metering reports, contracts and invoices. The onus rests on Axion. • A second-hand plant qualifies, provided it is brought into use for the first time by Axion and s12B(4) does not apply. Document 7 page 19 records that new electricity connections may require substantial lead times, which bears on the year of first use.

Legislation — paraphrased	Application to Axion
management, control or ownership which was granted the deduction; where the asset was disposed of in a previous year; and where a deduction was allowed under s6C or s12BA. • s12B(5) limits the aggregate of the deductions to the cost of the asset.	

2.2 Section 12B(1)(i), foundations and supporting structures

Legislation — paraphrased	Application to Axion
• What is “used in the generation of electricity”. IT39 2.2: the word “in” means the deduction is not confined to assets that themselves produce electricity; storage and conversion assets qualify if they form part of a system that produces electricity. Examples accepted in the guide are solar PV panels including their concrete foundations and supporting steel structures, direct current combiners and feeder lines, and alternating current inverters. • The limitation. IT39 2.2: assets used for the transmission of electricity, such as transformers and transmission lines, and assets used for storage, such as batteries, do not generate electricity and will generally not qualify. They qualify only where they form an integral part of a system that generates electricity. Where a taxpayer is only drawing power from the grid and storing it, the storage assets do not qualify. • Foundations and supporting structures are deemed to form part of the asset, and are deducted in the same way, only where all three requirements in the proviso to s12B(1) are met: the foundation is designed for the asset and constructed so as to be integrated with it; its useful life is limited to the useful life of the asset; and it was brought into use on or after 1 January 2013. • “Integrated” means the foundation cannot be regarded as a separate component and, if the asset is dismantled, the foundation must have no other use. • s12B(1)(i) allows a deduction for improvements — but not repairs — to an asset qualifying under s12B(1)(h) and to a foundation deemed to form part of it, at the same rate. The asset improved must itself have qualified. The cost of the improvement excludes the cost of the underlying asset. • s12BA made no provision for improvements. • s11(d) allows repairs in full in the year incurred.	• WHO — Axion, on the same terms as the underlying plant. A foundation is deducted as part of the asset only where all three requirements in the proviso are met. An improvement is deducted under s12B(1)(i) only where the underlying asset itself qualified under s12B(1)(h). • HOW MUCH — the same rate as the plant: 100% for photovoltaic solar not exceeding 1MW, otherwise 50 / 30 / 20. For an improvement, the cost of the improvement excludes the cost of the underlying asset. • WHEN — in the year the foundation or improvement is brought into use, on the same three-year basis as the plant. • Panel mounting frames and their concrete foundations qualify where they are designed for and integrated with the panels and their useful life is limited to that of the panels. • A strengthened roof does not qualify. IT39 Example 3 concerns a factory roof strengthened to carry solar panels: neither the roof nor the strengthening cost qualified, because the roof was integrated with the building rather than the solar system, and its useful life exceeded that of the panels. Document 7 page 19 records that Axion has on-site solar generation. • Transformers and transmission lines forming part of the grid connection do not generally qualify under s12B and are dealt with in 2.5. • Batteries. Document 7 page 19 records that Axion's facilities use UPS and battery infrastructure, and page 20 records that renewable generation does not replace that infrastructure. Batteries forming an integral part of the renewable generating system may qualify under s12B; batteries charged from the grid for resilience fall within the exclusion and are dealt with under s11(e). • Repairs to the plant are deducted in full under s11(d) in the year incurred; improvements fall under s12B(1)(i).

2.3 Section 12BA — the enhanced allowance

Legislation — paraphrased	Application to Axion
• s12BA(1) allowed a deduction of 125% of the cost of the asset, deducted in full in the year the asset was brought into use, where the asset was new and unused, owned by the taxpayer or acquired under an instalment credit agreement, brought into use for the first time by	• WHO — no one, on this investment. s12BA(4)(b) denies the deduction where the asset is brought into use after 28 February 2025. An asset acquired under a project now under consideration will be brought into use after that date. • HOW MUCH — not applicable. The allowance available on this investment is s12B, at 50 / 30 / 20, or 100% for photovoltaic solar not

Legislation — paraphrased	Application to Axion
that taxpayer for the purposes of that taxpayer's trade, and used by that taxpayer or the lessee of that taxpayer in the generation of electricity in South Africa from the specified sources. • There was no capacity threshold and no apportionment. • s12BA(4)(b) denies the deduction where the asset is brought into use after 28 February 2025. The asset had to be brought into use on or after 1 March 2023 and before 1 March 2025. • s12B(4)(h) denies a s12B deduction where a deduction was allowed under s12BA. s23B prohibits a double deduction: the cost of the same asset cannot be claimed under both sections.	exceeding 1MW. • WHEN — not applicable. The window was assets brought into use on or after 1 March 2023 and before 1 March 2025. • s12BA may be relevant to assets already held. Document 7 page 19 records existing on-site solar generation. If any of that plant was brought into use within the window, s12BA may have applied to it — see the section on the existing on-site solar generation. • s12BA differed from s12B in two respects that matter if an existing asset is being considered: it required the asset to be new and unused, and it permitted the lessee of the taxpayer to be the user.

2.4 Section 12U — roads and fences

Legislation — paraphrased	Application to Axion
• s12U(1)(a) allows a deduction of the amount actually incurred during the year of assessment on the construction of any road or the erection of any fence used by that person for the purposes of that person's trade of the generation of electricity which exceeds five megawatts from the specified sources of renewable energy (hydropower limited to 30MW). • s12U(2) extends the deduction to the foundation or supporting structure designed for such a fence, where it is constructed so as to be integrated with the fence and its useful life is limited to the useful life of the fence. Unlike s12B, the foundation is not deemed to form part of the fence; it qualifies in its own right. • s12U(1)(b) allows a deduction for improvements to the road, the fence or the fence foundation. Repairs are excluded. • The trade requirement is restricted. IT39 2.5: for s12U “a restriction applies as the taxpayer has to be conducting a trade of generation of electricity”, from the wording “for the purpose of trade of that person of generation of electricity”. • New construction only. IT39 2.4: the expenditure must be incurred on the construction or erection of new roads, fences and fence foundations, as opposed to existing ones. • Timing. IT39 6.3.1: the deduction must be taken in the year the expenditure is incurred and cannot be postponed to a future year. • s12U(3) allows expenditure actually incurred before the commencement of, and in preparation for, carrying on the trade to be deducted as soon as that trade commences, provided it would have qualified under s12U(1) and was not allowed in a previous year.	• WHO — only a taxpayer whose trade is the generation of electricity. This differs from s12B, which requires only that the asset be used in a trade. Document 7 page 19 describes Axion's trade as operating data centres and providing interconnection services. Where the generating entity sells or wheels electricity, the trade requirement is met; where generation is solely for Axion's own consumption, whether a trade of generating electricity is carried on is a question of fact on which Document 7 gives no information. • HOW MUCH — 100% of the amount actually incurred, on new roads, new fences, and a foundation designed for such a fence. Generation must exceed 5MW; below that the section does not apply at all. • WHEN — in the year the expenditure is actually incurred. The deduction cannot be postponed to a later year. Where the expenditure is incurred before the generation trade commences, s12U(3) defers it to the year that trade commences. • s12U(3) is likely to be in point. Document 7 page 20 records that this investment requires upfront capital, and access roads and perimeter fencing would ordinarily be constructed before commissioning. • Because the deduction cannot be postponed, it falls in a single year and may contribute to an assessed loss where taxable income in that year is insufficient — see 2.7. • The fence foundation qualifies in its own right under s12U(2), not as part of the fence. This differs from s12B, where the foundation is deemed to form part of the asset.

2.5 Assets outside sections 12B and 12U

Document 7 page 19 states that each development requires access to sufficient electricity and supporting transmission and distribution infrastructure.

Legislation — paraphrased	Application to Axion
• s13quin allows 5% per annum of the cost of a new and unused commercial building, or a new and unused improvement to a building, owned by the taxpayer and used wholly or mainly for producing income in the course of the taxpayer's trade, other than residential accommodation. It is based on the lower of cost and market value. "Mainly" means more than 50%. • Where a taxpayer purchases part of a new building, the allowance is based on 55% of the cost of that part. Where a taxpayer purchases an existing building improved by the seller with the intention of selling it, the allowance is 5% on 30% of the cost of those improvements. • s11(e) allows a deduction for the amount by which the value of machinery, plant, implements, utensils and articles owned by the taxpayer, or acquired under an instalment credit agreement, has decreased through use. The rates accepted by the Commissioner are in Interpretation Note 47 and Binding General Ruling 7. The allowance is apportioned for part-periods of use. It may be applied to foundations integrated with the asset whose useful life is limited to that of the asset. • s11(e) excludes machinery, plant, implements, utensils and articles in respect of which a deduction may be granted under s12B, 12C, 12DA, 12E(1), 12U or 37B. IT39 9.1 confirms that the exclusion applies even if a higher deduction would have resulted under s11(e). A taxpayer cannot choose between the sections. • Where no section applies, the expenditure is capital, no allowance is available, and the cost forms part of base cost for capital gains tax purposes.	• WHO — Axion, as owner, under whichever section the particular asset falls into. The sections are tested in order and are not elective. • HOW MUCH and WHEN, by asset: • A substation or plant-room building → s13quin → 5% per annum, from the year it is brought into use, provided it is new and unused and used wholly or mainly in producing income in Axion's trade. • A transmission line, and transformers not integral to generation → s11(e) → the IN 47 write-off period, apportioned for the part of the year in which the asset is used. • UPS and backup batteries charged from the grid → s11(e), on the same basis. • Land → no allowance under any section. The cost forms part of base cost for capital gains tax. • The exclusion in s11(e) operates automatically. Where an asset qualifies for s12B, s11(e) is unavailable even if it would produce a larger deduction. The two are not alternatives. • Apportionment differs between the sections. s12B is not apportioned; s11(e) is apportioned for part-periods. Two assets brought into use on the same date can therefore produce materially different first-year deductions depending on the section that applies.

2.6 Ownership — who is entitled to the allowance

Document 7 page 20 states that the investment would be made "potentially with an experienced technical partner".

Legislation — paraphrased	Application to Axion
• The four requirements must be met by the same taxpayer: it must own the asset, bring it into use for the first time, use it for the purposes of its own trade, and use it in the generation of electricity. • Ownership is determined at common law. IT39 2.3: under the maxim superficies solo cedit, anything planted, sown or artificially attached to land becomes part of the land and the property of the landowner. If the asset accedes to the land, the person who purchased the asset may not be the owner and will not be entitled to a deduction. • IT39 2.3 also records that the taxpayer need not own the land or building to which the asset is mounted or affixed — but must own the asset. • s12N deems a taxpayer that is not otherwise the owner to be the owner of improvements to land or buildings not owned by it but over which it holds a right of use or occupation, for the purposes of specified sections including s12B	• WHO — this depends entirely on the structure adopted with the technical partner, and Document 7 does not state it. • Axion owns the plant directly → Axion deducts the whole allowance against its own taxable income. • A partnership or joint operation → each partner deducts its proportionate share. Axion's share is deducted against Axion's own income, subject to the limitation in s24H(3) and the carry-forward in s24H(4). • A separate company owns the plant → that company deducts the allowance. Axion is not entitled to any capital allowance and deducts only the cost of electricity it purchases under s11(a). • Accession must be tested before concluding that Axion is the owner. Where the plant is permanently affixed to land that Axion does not own, the plant may become the property of the landowner. In that case Axion is not entitled to a deduction because it does not own the asset, and the landowner is not entitled to one because it did not incur the cost. • Where the plant is attached so that it can be detached without damage, and the parties agree in writing that it will be removed at the end of the lease, the purchaser retains ownership of the asset. A concrete foundation permanently affixed to the land remains the

Legislation — paraphrased	Application to Axion
and s12BA. The IAC 2026 Tax Notes describe s12N as applying to improvements to land or buildings leased from government or held in terms of a Public Private Partnership. If the requirements of s12N are not met, the ownership requirement in s12B is not met and no deduction is permissible. • Letting the asset. IT39 2.3: generally no allowance is granted under s12B where the taxpayer lets the asset, because it is then the lessee, not the taxpayer, that uses it to generate electricity. • s24H — partnerships. Each partner has an undivided proportionate share in each generating asset as determined by the partnership agreement, and is entitled to a deduction equal to that proportionate share. s24H(3) may limit the deduction in the year it would otherwise be claimed, with the excess carried forward for potential deduction under s24H(4). • A company that owns the plant claims in its own right; its shareholders are not entitled to a deduction.	property of the landowner. • s12N may deem Axion the owner of improvements to land it does not own. On the description in the IAC 2026 Tax Notes, s12N is directed at land or buildings leased from government or held under a Public Private Partnership; Document 7 does not state the identity of any landowner.

2.7 Funding, assessed losses and disposal

Document 7 page 20 states that this investment requires upfront capital and an appropriate funding structure.

Legislation — paraphrased	Application to Axion
• s24J — interest is incurred and accrued on a yield-to-maturity basis over the term of the instrument, regardless of when it is paid, and independently of the accounting treatment. • s11A — expenditure incurred in preparation for, but before the commencement of, a trade may be deducted once that trade commences, provided it would have been deductible had the trade already commenced. The deduction is limited to the taxable income of that trade after all other deductions, with the undeducted portion carried forward. • s20(1)(a) — a company may set off the balance of assessed loss brought forward only against the higher of R1 million or 80% of taxable income for the year. The unused balance is carried forward. The current-year loss is not restricted. • s8(4)(a) — an amount previously allowed as a deduction that is recovered or recouped is included in income. On disposal of an allowance asset the recoupment equals the proceeds, limited to the cost of the asset, less its tax value. A recoupment can never exceed the sum of the allowances previously granted on that asset. • s8(4)(k) — where the asset is disposed of to a connected person, transferred to a shareholder or donated, the market value on disposal is substituted for the actual proceeds in determining the recoupment. • Paragraphs 65 and 66 of the Eighth Schedule — where an asset is disposed of in order to replace it, the recoupment may be deferred and	• WHO — the taxpayer that incurs the interest and owns the asset. Where the plant is held in a separate company, the interest deduction, the assessed loss and the recoupment all arise in that company and not in Axion. • HOW MUCH and WHEN — interest. Interest is deducted as it is incurred on a yield-to-maturity basis, not as it is paid. Where the interest is capitalised into the cost of the asset for accounting purposes it is still deducted for tax as incurred. • s11A applies where expenditure is incurred in preparation for a trade that has not yet commenced. Document 7 page 20 records that the investment requires upfront capital, and page 19 records that new connections may require substantial lead times. • HOW MUCH and WHEN — assessed losses. Where the first-year allowances exceed taxable income, an assessed loss arises. In the following year the brought-forward balance may be set off only against the higher of R1 million or 80% of that year's taxable income, so tax is payable on at least 20% of taxable income above R1 million. • The effect is most pronounced where the plant is held in a separate company with no other income, because the allowances then create an assessed loss that can only be absorbed against that company's own future income. • HOW MUCH and WHEN — disposal. On disposal the recoupment is proceeds limited to cost, less tax value, included in income in the year of disposal, and is capped at the allowances previously claimed. Any excess of proceeds over cost is a capital gain, included at 80%. • s8(4)(k) substitutes market value where the disposal is to a connected person. A transfer of the plant to a project company or to the technical partner would fall to be tested against this provision. • s11(o) is available only where the tax life of the asset does not exceed 10 years, excludes s12U assets, and cannot be claimed on a disposal to a connected person.

Legislation — paraphrased	Application to Axion
released in line with the allowances on the replacement asset, provided the proceeds equal or exceed base cost, all the proceeds are used to acquire the replacement, the asset is replaced within twelve months and the replacement is brought into use within three years. • s11(o) — a disposal allowance may be claimed where the tax value on disposal exceeds the proceeds, for assets qualifying under specified sections including s12B but excluding s12U, where the tax life of the asset does not exceed 10 years. It is elective and may not be claimed on a disposal to a connected person. • Eighth Schedule — proceeds less base cost. Proceeds are reduced by any amount included in gross income, including a recoupment. Base cost is reduced by the allowances claimed. The inclusion rate for a company is 80%.	

2.8 Case law

Case — principle paraphrased	Application to Axion
• Blue Circle Cement Ltd v CIR. Whether an asset is “plant” is determined by a functional test — is it apparatus used in carrying on the taxpayer’s business — and a durability test — it must have a degree of permanence and not be quickly consumed or worn out. • ITC 1804. The requirement that the asset be “brought into use for the first time by that taxpayer” prevents a taxpayer from claiming a further allowance on an asset that was previously brought into use by it, retired, and then brought into use again. • New State Areas Ltd v CIR. Capital expenditure adds to the income-earning structure; revenue expenditure works the income-earning operations. • CIR v George Forest Timber Co Ltd. Capital expenditure acquires a source of profit; revenue expenditure works that source. • Rand Mines (Mining and Services) Ltd v CIR. Capital expenditure acquires a right to perform operations; revenue expenditure performs them. • CSARS v BP South Africa. There is no prescribed minimum period of endurance that defines an “enduring” benefit. • MacDonald Ltd v Radin NO; Olivier v Haarhof & Co; Melcorp SA (Pty) Ltd v Joint Municipal Pension Fund. Whether a movable has become immovable by annexation depends on the nature of the article, the degree and manner of its annexation and the intention of the person annexing it. No single general rule can be laid down. Where the agreement expressly records that the asset is not to become a fixture, accession does not take place. • African Products Manufacturing Co Ltd. A repair presupposes damage and is the restoration or replacement of a subsidiary part. A renewal is the reconstruction or replacement of substantially the whole. An improvement creates a better asset. Using different material does not	• Blue Circle Cement. Generation plant, inverters and combiners are apparatus used in carrying on the activity of generating electricity and have a long useful life, so they satisfy both the functional and the durability tests and constitute “plant” for s12B. • ITC 1804. Where existing generation plant is decommissioned and later returned to service, no further s12B allowance arises on it, because it is not then being brought into use for the first time. Document 7 page 19 records existing on-site solar generation. • New State Areas, George Forest Timber and Rand Mines. The cost of acquiring and erecting the generation plant adds to Axion’s income-earning structure, acquires a source of supply and acquires the right to generate. It is therefore capital in nature and not deductible under s11(a); relief is available only through the capital allowances in 2.1 to 2.5. • CSARS v BP South Africa. The absence of a minimum period means the enduring-benefit test cannot be answered by reference to the length of the project alone. • MacDonald, Olivier and Melcorp. Where the generation plant is affixed to land that Axion does not own, these cases determine whether Axion remains the owner. The manner of attachment and the recorded intention of the parties are decisive, and an express agreement that the plant is to be removed at the end of the lease supports Axion retaining ownership. • African Products Manufacturing. This case distinguishes repairs deductible under s11(d) from improvements falling under s12B(1)(i). Replacing a damaged panel is a repair; replacing substantially the whole array, or installing a better array, is not.

Case — principle paraphrased	Application to Axion
of itself alter the character of a repair.	

2.9 Other taxes

Tax	Paraphrased rule	Application to Axion
VAT	Input tax is deductible under s16(3) read with s17 to the extent that goods or services are acquired for the purpose of making taxable supplies . VAT on importation is payable and recoverable; customs duty is not recoverable .	WHO — the registered vendor acquiring the plant. HOW MUCH — 15% of the cost of the plant and construction services. WHEN — in the tax period in which the supply is acquired, subject to the vendor holding a valid tax invoice. Customs duty on imported plant is not recoverable and forms part of the cost of the asset for s12B purposes.
Dividends tax	Withheld at 20% on dividends paid by a resident company. s64F exempts the dividend where the beneficial owner is a South African resident company , subject to the declaration and written undertaking being submitted before payment.	Applies only where a separate company holds the plant and distributes profits. A distribution from a resident project company to Axion, a resident company, is exempt if the declaration and undertaking are in place.
Carbon tax	The Carbon Tax Act 15 of 2019 imposes tax on greenhouse gas emissions from fuel combustion , industrial process and fugitive sources above the threshold for the activity. Stationary combustion is measured by aggregated installed thermal capacity.	Document 7 page 19 records that diesel is used in backup generators and page 20 records that renewable generation does not replace resilience infrastructure. Emissions from purchased electricity are not taxed in the purchaser's hands.
Apportionment	CIR v Nemojim (Pty) Ltd — expenditure incurred partly to produce income and partly to produce exempt income must be apportioned. s23(f) disallows expenditure incurred in respect of amounts that do not constitute income.	Relevant where a project company earns exempt dividend income alongside taxable income, in which case expenditure must be apportioned.

2.10 Worked example

The figures below are illustrative inputs supplied for the example only. Document 7 does not state a capacity, a cost, a commissioning date or a structure.

Step 1 — Allocate the cost to the applicable section

Cost element	Illustrative cost	Section	Deduction in year 1
Generation plant — 30MW photovoltaic solar	R450 000 000	s12B at 50% (above 1MW)	R225 000 000
New access road and perimeter fencing	R25 000 000	s12U at 100%, if the generation trade requirement is met	R25 000 000
Grid connection and transmission line	R60 000 000	s11(e), apportioned, unless integral to generation	R500 000 on a 20-year period, 2 months of use
Land	R15 000 000	No allowance — base cost only	Nil
Total	R550 000 000		R250 500 000

Step 2 — Apply the section 12B rate over three years

Plant of R450 000 000	Year 1	Year 2	Year 3	Total
Rate — s12B(2)(a)	50%	30%	20%	100%
Deduction	R225 000 000	R135 000 000	R90 000 000	R450 000 000
Tax effect at 27%	R60 750 000	R36 450 000	R24 300 000	R121 500 000

Step 3 — Identify the taxpayer entitled to the deduction

Year 1 deductions of R250 500 000	Axion owns the plant	Joint operation, 50% share	Separate company owns the plant
WHO deducts	Axion	Axion 50%; the partner 50%	The project company
HOW MUCH to Axion	R250 500 000	R125 250 000, subject to s24H(3)	Nil — s11(a) on electricity purchased only
Taxable income before	R350 000 000	R350 000 000	R350 000 000
Taxable income after	R99 500 000	R224 750 000	R350 000 000 less electricity purchased
Tax at 27%	R26 865 000	R60 682 500	Depends on the electricity cost
If the plant accedes to land Axion does not own	Nil to Axion, and nil to the landowner	Nil to Axion	Unaffected

Step 4 — Disposal in a later year

Plant with a tax value of nil	Sold for R200 000 000	Sold for R500 000 000
s8(4)(a) recoupment — proceeds limited to cost, less tax value	R200 000 000	R450 000 000 — limited to cost
Tax on the recoupment at 27%	R54 000 000	R121 500 000
Capital gain — proceeds less cost	Nil — proceeds below cost	R50 000 000
Included at 80%, taxed at 27%	Nil	R10 800 000
Total tax on disposal	R54 000 000	R132 300 000

2.11 Information required

- The **generation capacity in megawatts** and the **technology**, which determine the rate under s12B and whether s12U is available.
- The **split of the project cost** between generation plant, roads and fencing, grid connection and transmission infrastructure, buildings and land.
- The **structure of the arrangement with the technical partner** and the participation percentages, which determine the taxpayer entitled to the allowance.
- **Who owns the land** on which the plant will stand, the terms of any lease as to removal of the plant at the end of the lease, and the manner in which the plant will be attached.
- The **date on which the plant will be brought into use**, relative to the year of assessment.
- Whether the generating entity will **sell or wheel electricity**, which bears on the s12U trade requirement.
- The **split of storage and battery expenditure** between assets integral to the generating system and grid-charged resilience assets.
- The **funding structure**, the interest rate, and whether interest is capitalised into the cost of the asset.
- Whether any plant will be **imported**, and the applicable customs duty.

Investment 3 — Off-site generation and wheeling

Document 7, page 20. “Land and network constraints may limit renewable generation at a data centre site. Electricity may instead be generated elsewhere and supplied through the electricity network under a wheeling arrangement.” The diagram records the sequence renewable-energy project → electricity network → Axion data centre, “allocated at an agreed metering point”, and lists **network and wheeling charges, transmission losses, curtailment, and electricity generated but not used**.

3.1 Income tax consequences

Legislation — paraphrased	Application to Axion
• s12B(1)(h) requires ownership, first use by the taxpayer, use for that taxpayer's trade, and use in generating electricity from a specified source. The section does not require the asset to be situated at the taxpayer's premises. • Ownership at common law. IT39 2.3: under superficies solo cedit an asset artificially attached to land becomes the property of the landowner. The purchaser of the asset may therefore not be its owner and will not be entitled to a deduction; the landowner is also not entitled, having incurred no cost. • s12N deems a taxpayer holding a right of use or occupation to be the owner of improvements it effects to land it does not own, for the purposes of specified sections including s12B. The IAC 2026 Tax Notes describe s12N as directed at land or buildings leased from government or held under a Public Private Partnership. • s12U requires the taxpayer's trade to be the generation of electricity exceeding 5MW. • Transmission assets. IT39 2.2: transformers and transmission lines are used for the transmission of electricity and do not generate it, and generally do not qualify under s12B. • s11(a) allows expenditure and losses actually incurred in the production of the income, not of a capital nature, read with s23(g).	• WHO — the allowance follows ownership of the off-site plant, not its location. • Where Axion owns the off-site plant and retains ownership, the whole of Investment 2 applies to it unchanged: s12B on the generation plant, s12U on new roads and fencing if the trade requirement is met, s13quin or s11(e) on the balance. • Where an independent producer owns the plant, Axion is entitled to no capital allowance and deducts only the cost of electricity under s11(a), as in Investment 1. • Where Axion owns the plant but it accedes to land owned by another person, Axion is not entitled to a deduction because it does not own the asset. Document 7 page 20 records that land and network constraints are the reason generation may be placed off site, so the plant may stand on land that Axion does not own. • HOW MUCH and WHEN — the wheeling costs. Network and wheeling charges are deducted in full under s11(a) in the year the obligation to pay them arises. They are an operating cost of delivering electricity to the metering point and are not capital in nature. • Transmission losses. Axion pays for a volume measured at the generation point and receives a smaller volume at the metering point. The cost of the lost units remains expenditure actually incurred in the production of income and is deductible; the section does not require the expenditure to produce income successfully. • Curtailment and electricity generated but not used. Where Axion is under an unconditional obligation to pay for electricity it does not receive or cannot use, that amount is actually incurred and is deductible on the same basis. • The transmission line to the metering point does not qualify under s12B and is dealt with under 2.5.

3.2 Case law

Case — principle paraphrased	Application to Axion
• Sub-Nigel Ltd v CIR. Expenditure must have been incurred for the purpose of earning income, whether or not it actually produced income. • Port Elizabeth Electric Tramway Co Ltd v CIR; Joffe & Co (Pty) Ltd v CIR. The risk of incurring the expenditure must be an inevitable concomitant of the taxpayer's income-earning activities. • Warner Lambert SA (Pty) Ltd v CSARS. For s23(g), the test is the purpose of the expenditure and what it actually effects. • MacDonald Ltd v Radin NO; Olivier v Haarhof & Co; Melcorp SA (Pty) Ltd v Joint Municipal Pension Fund. Annexation depends on the nature of the article, the degree and manner of annexation and the intention of the annexor; an express agreement that the asset is not to	• Sub-Nigel is the authority for deducting the cost of transmission losses, curtailed volumes and electricity generated but not used. The expenditure was incurred for the purpose of securing electricity to earn income; that a portion of the volume never reached Axion or could not be used does not defeat the deduction. • Port Elizabeth Electric Tramway and Joffe. Transmission losses and curtailment are an unavoidable feature of delivering electricity across a network. Document 7 page 20 lists both among the characteristics of a wheeling arrangement, so the risk is an inevitable concomitant of that arrangement. • Warner Lambert. The purpose of the wheeling and network charges is to deliver electricity to Axion's facilities, and what they effect is the supply of electricity used in Axion's trade. They are therefore laid out for the purposes of trade and s23(g) does not disallow them. • MacDonald, Olivier and Melcorp determine whether Axion remains owner of plant erected on land belonging to another. The manner of attachment and the recorded intention of the parties are decisive.

Case — principle paraphrased	Application to Axion
become a fixture prevents accession.	

3.3 Other taxes, worked example and information required

Tax	Paraphrased rule	Application to Axion
VAT	Electricity and network services are standard-rated taxable supplies at 15% . Input tax is deductible to the extent acquired for making taxable supplies.	There are two supplies to Axion: the electricity from the producer and the wheeling and network service from the network operator. Input tax on both is deductible. The metering point determines the volume on which the supply is invoiced.
Carbon tax	Imposed on Scope 1 emissions from fuel combustion above the threshold for the activity.	Emissions from purchased electricity are not taxed in the purchaser's hands.

The figures below are illustrative inputs supplied for the example only. Document 7 does not state a volume, a price, a wheeling tariff or a loss factor.

Independent producer owns the plant	Illustrative input	Income tax effect
Volume contracted at the generation point	80 000 000 kWh	
Transmission losses at 5%	(4 000 000 kWh)	
Volume received at the metering point	76 000 000 kWh	
Electricity cost — 80 000 000 kWh at R1.10	R88 000 000	s11(a) — R23 760 000 at 27%
Network and wheeling charges	R12 000 000	s11(a) — R3 240 000 at 27%
Total deduction under s11(a)	R100 000 000	R27 000 000
Capital allowance to Axion	Nil — Axion owns no asset	Nil
Cost per kilowatt-hour received	$R100\,000\,000 \div 76\,000\,000 = R1.32$	

Information required

- **Who owns the off-site generation plant**, and whether Axion acquires any interest in it.
- **Who owns the land** on which the plant stands, the terms of any lease as to removal, and the manner of attachment.
- The **wheeling tariff** and the **loss factor** applied at the agreed metering point.
- **Who bears the risk of curtailment**, and whether Axion pays for electricity generated but not delivered.
- The **location of the metering point** and the volume basis on which Axion is invoiced.

Investment 4 — Long-term offtake agreements

Document 7, page 20. Potential benefits recorded are greater revenue certainty for the project, improved visibility over future electricity costs, contracted revenues that may support project debt, and electricity secured for future capacity. The related considerations recorded are that the project may depend heavily on one customer, that **pricing and escalation terms may apply for many years**, that funders will consider the customer's ability to pay, and that **purchase commitments may begin before the new facility is fully utilised**.

4.1 Income tax consequences

Legislation — paraphrased	Application to Axion
• s11(a) allows expenditure actually incurred in the production of the income, not of a capital nature, read with s23(g). • “Actually incurred” requires an unconditional obligation. An obligation that is conditional on a future event has not been actually incurred until the condition is met. Actually incurred does not mean paid. • s23H — prepaid expenditure. Where expenditure is incurred in respect of goods or services to be supplied in a future year, the deduction is limited, unless all the goods or services will be supplied within six months after the end of the year of assessment, or the aggregate of all such prepaid expenditure does not exceed R100 000. • There is no general provision permitting a deduction for expenditure that will be incurred in future years under a purchase contract. • s23(f) disallows expenditure incurred in respect of amounts that do not constitute income.	• WHO — Axion, as the purchaser of the electricity under the offtake agreement. • HOW MUCH — the amount of each year's unconditional obligation, and no more. Signing an agreement that runs for many years does not of itself incur the expenditure of every future year. • WHEN — in each year of assessment in which the obligation for that year becomes unconditional. Document 7 page 20 records that pricing and escalation terms may apply for many years; each year's obligation is tested in that year. • Electricity paid for but not used remains deductible. Document 7 page 20 records that purchase commitments may begin before the new facility is fully utilised. Where Axion is unconditionally obliged to pay for a minimum volume, that amount is actually incurred in the production of income and is deductible, even though the electricity is not consumed. • Where an amount is payable in advance, s23H applies: the deduction is not limited if the electricity will be supplied within six months after the end of the year of assessment, or if the aggregate prepaid expenditure does not exceed R100 000. • Escalation does not accelerate the deduction. The deduction in each year is the amount of that year's obligation, at the escalated price applicable to that year.

4.2 Case law

Case — principle paraphrased	Application to Axion
• Nasionale Pers Bpk v KBI. An amount that is conditional on the outcome of a future event has not been actually incurred. • Edgars Stores Ltd v CIR. Expenditure is deducted once all the conditions have been met, even if the amount at that date is only an estimate. Estimating the amount is different from estimating the outcome. Expenditure should not be spread evenly over a contract where the obligation does not arise evenly. • CIR v Golden Dumps (Pty) Ltd. Where the incurral of an amount is in dispute, it has not been actually incurred until the dispute is resolved. • Sub-Nigel Ltd v CIR. Expenditure must be incurred for the purpose of earning income, whether or not it actually produced income. • Port Elizabeth Electric Tramway Co Ltd v CIR. “Actually incurred” does not mean that it was necessary or good business to incur the expenditure.	• Nasionale Pers. The obligation to purchase electricity in future years under a long-term offtake agreement is conditional on those years arriving and on delivery being made. No deduction arises on signature for the later years of the agreement. • Edgars Stores. Once the conditions for a particular period's purchase are met, the amount is deducted in that period even if it must be estimated, for example where the price escalates on a formula not yet finally determined. It is not correct to spread the total contract cost evenly across the term for tax purposes. • Golden Dumps. Where Axion disputes an amount invoiced under the agreement, for example a curtailment or take-or-pay charge, no deduction arises until the dispute is resolved. • Sub-Nigel. This is the authority for deducting the take-or-pay charge on electricity that Axion pays for but does not use. The expenditure was incurred to secure electricity for the purpose of earning income. • Port Elizabeth Electric Tramway. That committing to a volume in advance of utilisation may prove uneconomic does not affect deductibility; the section does not require the expenditure to have been necessary or commercially advantageous.

4.3 Other taxes, worked example and information required

Tax	Paraphrased rule	Application to Axion
VAT	Input tax is deductible in the tax period in which the supply is made and a valid tax invoice is held, in accordance with the time of supply rules.	Input tax follows each invoice, including invoices for take-or-pay volumes not consumed, since a supply is nonetheless made to Axion.
Carbon tax	Imposed on Scope 1 emissions.	Emissions from purchased electricity are not taxed in the purchaser's hands.

The figures below are illustrative inputs supplied for the example only. Document 7 does not state a contracted volume, a take-or-pay percentage or a utilisation profile.

Take-or-pay volume of 80 000 000 kWh at R1.10	Year 1	Year 2	Year 3
Volume actually consumed	55 000 000 kWh	70 000 000 kWh	80 000 000 kWh
Volume paid for but not consumed	25 000 000 kWh	10 000 000 kWh	Nil
Amount actually incurred	R88 000 000	R88 000 000	R88 000 000
Deduction under s11(a)	R88 000 000	R88 000 000	R88 000 000
Tax effect at 27%	R23 760 000	R23 760 000	R23 760 000
Of which relates to volume not consumed	R7 425 000	R2 970 000	Nil
Deduction on signature of the agreement	Nil — the later years' obligations are not yet unconditional		

Information required

- The **term of the agreement** and the **take-or-pay percentage or minimum purchase obligation**.
- The **escalation formula** and the basis on which the price for each year is determined.
- The **utilisation profile** of the new capacity relative to the date on which the purchase commitment begins.
- Whether any amount is payable **unconditionally on signature**, and whether any amount is **prepaid**, for s23H.
- Whether any invoiced amount is **in dispute**.

The existing on-site solar generation

Document 7, page 19 records that Axion's electricity comes from grid and municipal supply, renewable electricity procured through power purchase agreements, and **on-site solar generation** which supplements electricity supply. This is not one of the options under consideration on page 20, but it carries its own tax consequences.

Legislation — paraphrased	Application to Axion
• s12B(2)(b) — 100% in the year brought into use for photovoltaic solar energy not exceeding one megawatt; otherwise 50 / 30 / 20 under s12B(2) (a). • s12BA — 125% of cost in the year brought into use, for a new and unused asset brought into use on or after 1 March 2023 and before 1 March 2025. The two sections are mutually exclusive. • s8(4)(a) — on disposal, the proceeds limited to cost, less the tax value, are included in income. For an asset on which s12BA was claimed, the 125% previously deducted is recouped to the extent recovered. • s8(4)(nA) — where an asset contemplated in s12BA is disposed of before 1 March 2026, 25% of the cost that has been recouped is included in income in addition to the s8(4)(a) amount. The two inclusions together are limited to the total allowed under s12BA. Section 8(4)(nA) does not apply to a disposal on or after 1 March 2026. • s11(d) — repairs are deducted in full in the year incurred. s12B(1)(i) — improvements are deducted at the same rate as the underlying asset. s12BA made no provision for improvements. • s12L — a deduction for energy efficiency savings, calculated at 95 cents per kilowatt-hour of savings, subject to measurement and verification and a certificate issued by SANEDI. s23B prohibits a double deduction, but IT39 9.4 confirms that s12B and s12L may both be claimed because they relate to different amounts — the cost of the asset and the energy saved.	• WHO — Axion, as owner of the on-site installation. • HOW MUCH — depends on capacity and on the date of first use. Photovoltaic solar not exceeding 1MW is deducted at 100%. If the installation was brought into use within the s12BA window it may have been deducted at 125%, in which case the excess over cost is a permanent difference that does not reverse. • WHEN — in the year the installation was brought into use. Document 7 does not state when the on-site solar was installed or its capacity. • On disposal, the date determines the amount recouped. For an asset on which s12BA was claimed, a disposal before 1 March 2026 attracts both s8(4)(a) and the additional 25% under s8(4)(nA); a disposal on or after 1 March 2026 attracts only s8(4)(a). • Roof strengthening does not form part of the cost of the solar installation, on the basis of IT39 Example 3. • s12L is available alongside s12B. Document 7 page 19 records that electricity is one of Axion's most significant operating costs and that an AI-enabled tool is being piloted at Johannesburg 1 that uses operational data to identify and prioritise equipment requiring maintenance.

Illustrative example. Document 7 does not state the capacity, cost or installation date of the on-site solar generation.

An 800kW installation costing R18 000 000	If s12B applied	If s12BA applied
Rate	100% — not exceeding 1MW	125%
Deduction in the year of first use	R18 000 000	R22 500 000
Tax effect at 27%	R4 860 000	R6 075 000
Disposal for R15 000 000 before 1 March 2026	s8(4)(a) — R15 000 000	s8(4)(a) R15 000 000 plus s8(4)(nA) R4 500 000 = R19 500 000
Disposal for R15 000 000 on or after 1 March 2026	s8(4)(a) — R15 000 000	s8(4)(a) — R15 000 000; s8(4)(nA) does not apply

Summary — the four opportunities side by side

	Investment 1 — PPA	Investment 2 — Direct investment	Investment 3 — Wheeling	Investment 4 — Offtake
Does Axion acquire an asset?	No	Yes, if Axion owns the plant	Depends on who owns the plant	No
WHO is entitled to the capital allowance	The producer	The owner: Axion, each partner, or the project company	The owner of the off-site plant	Not applicable
Applicable capital allowance	None to Axion	s12B; s12U; s13quin; s11(e)	As Investment 1 or 2	None
Applicable deduction to Axion	s11(a) — electricity	s12B, s12U, s24J	s11(a) — electricity, wheeling and network charges	s11(a) — each year's obligation
HOW MUCH	The cost incurred	50/30/20, or 100% for PV not exceeding 1MW; s12U 100%	The cost incurred, or as Investment 2	Each year's obligation only
WHEN	In the year the obligation arises	From the year of first use; not apportioned	In the year the obligation arises	In each year, not on signature
Principal case law	New State Areas; PE Electric Tramway	Blue Circle Cement; ITC 1804; MacDonald; African Products	Sub-Nigel; Joffe; Warner Lambert	Nasionale Pers; Edgars Stores; Golden Dumps
Recoupment on disposal	Not applicable	s8(4)(a); s8(4)(k); Eighth Schedule	As Investment 2 if Axion owns	Not applicable
VAT	Input tax on the electricity	Input tax on plant and construction	Input tax on both supplies	Input tax on each invoice

Sources

- **Income Tax Act 58 of 1962**, and the Value-Added Tax Act 89 of 1991 and Carbon Tax Act 15 of 2019 where referred to.
- **SARS Guide IT39** — Guide on the Allowances and Deductions Relating to Assets Used in the Generation of Electricity from Specified Sources of Renewable Energy, 23 November 2024. IT39 records that it is not an “official publication” as defined in section 1 of the Tax Administration Act 28 of 2011, does not create a practice generally prevailing under section 5 of that Act, and is not a binding general ruling under section 89.
- **Interpretation Note 47** and **Binding General Ruling 7** — wear-and-tear write-off periods. **Interpretation Note 119** — section 12N. **Interpretation Note 60** — section 11(o). **Interpretation Note 74** — repairs. **Interpretation Note 95** — section 12L.
- **IAC 2026 Tax Notes** and **IAC 2026 Tax Tutorials** — for the general deduction formula, the capital and revenue tests, the capital allowance comparisons, recoupments and disposal allowances, and the prescribed case law.
- **Document 7 of the pre-release**, pages 18, 19 and 20.

Prepared for APC 2026 September Qualifying Exam preparation. Axion Digital Infrastructure (Pty) Ltd is a fictitious entity created for assessment purposes.